

Town Development Fund Act, 1997

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Town Development Fund Act, 2053 (1997)

Royal Seal and Date of Publication

2043.10.23 (1987)

Amending Acts

1. Income Tax Act, 2058 (2001) 2058.12.19 (2002)
2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009) This Act shall be deemed to have come into force from 2065.02.15 (2008). 2066.10.07 (2010)
3. Some Nepal Acts Amendment Act, 2075 (2018) 2075.11.19 (2019)
4. Some Nepal Acts Amendment Act, 2082 (2025) 2082.04.14 (2025)

Act Number 26 of the year 2043 (1987)

An Act Made to Establish and Operate the Town Development Fund

Preamble: Whereas, it is expedient to make provisions regarding the establishment and operation of a Town Development Fund for the construction, development and expansion of towns in Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009)., for operating and causing to operate basic social services and income-generating projects in towns, and for providing necessary financial and technical assistance to bodies related to town development operating such services and projects, thereby developing and causing to develop the town in a systematic manner;

Now, therefore, the Parliament has enacted this Act in the twenty-fifth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Town Development Fund Act, 2043 (1987)".

(2) It shall come into force immediately. 2.

Definitions: Unless the subject or context otherwise requires, in this Act,- (a) "Fund" means the Town Development Fund established pursuant to Section 3. (b) "Basic Social Services" means roads, streets, lights, bridges, drinking water, drainage, solid waste collection, public toilets, public libraries, schools and various structures constructed for similar public use, as well as various services provided for the benefit of the townspeople. (c) "Income-generating Project" means public markets, business centers, bus parks, slaughterhouses, warehouses and other similar income-generating projects. (d) "Body Related to Town Development" means the following institutions undertaking land development and distribution and works related to basic social services and income-generating projects for the construction and development of towns:- (1) Governmental or non-governmental institutions established pursuant to prevailing law, (2) Town

development committees, metropolitan municipalities, sub-metropolitan municipalities or municipalities formed pursuant to prevailing law, (3) Any village designated as a village turning into a town pursuant to prevailing law, which is specified by the Fund based on population and development. (e) "Town" means a metropolitan municipality, sub-metropolitan municipality, municipality and a village turning into a town. (f) "Loan" means credit provided under conditions determined by the Fund, with or without taking any movable or immovable property as collateral, mortgage, or other necessary security or guarantee. (g) "Borrower" means a body related to town development taking a loan from the Fund. (h) "Debenture" means a bond issued by the Fund, with or without keeping its own property as collateral. (i) "Committee" means the Board of Directors of the Fund constituted pursuant to Section 14. (j) "Chairperson" means the Chairperson of the Committee. (k) "Member" means a member of the Committee, and such word also refers to the Chairperson and the Member-Secretary of the Committee. (l) "Executive Director" means the Executive Director of the Fund appointed pursuant to Section 18. (m) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules or regulations made under this Act.

Chapter-2 Establishment, Objectives, Functions, Duties and Powers of the Fund

3. Establishment of the Fund: (1) A Fund named "Town Development Fund" is hereby established for providing necessary financial and technical assistance to bodies related to town development for the construction, development and expansion of towns and for carrying out related works. (2) The central office of the Fund shall be located in the Kathmandu Valley, and the Fund may open its branch offices in any place within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009). as required.

6. Functions, Duties and Powers of the Fund: In addition to the functions, duties and powers mentioned in other sections of this Act, the functions, duties and powers of the Fund shall be as follows:-

- (a) To determine and implement or cause to implement policies relating to the operation and management of the Fund.
- (b) To approve the annual and periodic programs and budget of the Fund and to arrange or cause to arrange for necessary funds therefor.
- (c) To provide financial and technical assistance to bodies related to town development for the construction, development and expansion of towns and for operating basic social services and income-generating projects in towns.
- (d) To prepare the necessary financial and technical foundations for the construction, development, expansion and diversification of towns, implement or cause to implement programs related to town development, and to encourage to the maximum extent the participation of bodies related to town development in such programs.
- (e) To provide necessary support for training and orientation to be given to employees working in bodies related to town development.
- (f) To provide necessary consultancy services to bodies related to town development on matters related to town development.
- (g) To monitor and supervise or cause to monitor and supervise projects and programs operated with loans taken from the Fund.
- (h) To act or cause to act in accordance with an agreement made by the Government of Nepal with any foreign government or institution or international institution concerning the Fund.
- (i) To invest the money of the Fund, not contrary to the interest of the Fund, in the purchase of shares, debentures or any other type of bonds of any other institution established pursuant to prevailing law.
- (j) To approve plans and programs submitted to the Fund.
- (k) To arrange for the annual audit of the Fund.

(l) To submit an annual report of the activities carried out by the Fund during the year and the annual audit report to the Government of Nepal.

(m) To approve the organizational structure of the Fund and create necessary posts accordingly.

(n) To perform other necessary functions to achieve the objectives of the Fund.

7. Fund may Charge Service Fee: The Fund may charge a service fee as prescribed, for providing consultancy services related to town development to bodies related to town development.

8. Fund may Mobilize Financial Resources: The Fund may mobilize necessary financial resources, including loans, grants, donations, gifts, from the Government of Nepal, governmental and non-governmental institutions, foreign governments or institutions, international institutions or agencies, for operating programs in line with its objectives.

Provided that, before taking financial resources from foreign governments or institutions, international institutions or agencies, the Fund shall obtain the approval of the Government of Nepal.

9. May Issue and Purchase Bonds: (1) The Fund may issue and purchase debentures and any other types of bonds, following the procedure according to prevailing law. (2) While issuing and purchasing debentures and any other types of bonds pursuant to sub-section (1), the Fund shall follow the prescribed procedure.

10. Power to Impose Conditions: (1) While providing a loan or grant to a body related to town development, the Fund shall make a written agreement, imposing conditions as necessary for the protection of its interest and the proper use of the loan or grant provided by it. (2) While making an agreement pursuant to sub-section (1), the Fund may stipulate a condition that it may fix a deadline of any duration, and that if the condition prescribed by the Fund is breached, the borrower may be required to repay the principal and interest of the loan taken, or that the amount may be recovered from the collateral, mortgage or other property and guarantee documented by the borrower. (3) The Fund may impose conditions to provide the loan in installments, as prescribed, by way of cash, cheque, promissory note or any other such means, calculating interest from the date of receipt of each installment of the total loan amount to be given to the borrower.

11.

Powers of the Fund in Case of Breach of Condition: (1) If any borrower, contrary to the agreement made pursuant to Section 10, fails to repay the loan, interest and outstanding advance payable to the Fund and breaches a condition mentioned in the agreement made with the Fund, or if sufficient grounds appear that such loan amount cannot be recovered from the borrower, even if the term has not expired, the Fund may demand repayment of the amount due from the borrower, or take possession of the property kept as collateral at the time of lending or other properties of such borrower pursuant to prevailing law and utilize it, lease or rent it out, or sell it by auction, tender or mutual negotiation, and recover the amount due to it. (2) In case the Fund takes possession of the borrower's property and sells it by auction, tender or mutual negotiation pursuant to sub-section (1), after taking the amount due to the Fund, the excess amount, if any, shall be returned to the concerned borrower. (3) If the borrower's property cannot be sold by auction, tender or mutual negotiation despite repeated attempts pursuant to sub-section (1), or if selling at the price obtained does not appear to be in the interest of the Fund, the Fund may itself take ownership of the borrower's property after fixing its value as prescribed.

12. Fund's Right not Extinguished: (1) The Fund's right over the collateral shall not be extinguished merely by the reason that the Fund has not taken action to take possession of the collateral or recover the loan within the term mentioned in the deed under which the Fund took any property as collateral. (2) If, as per the condition mentioned in the agreement, the Fund has taken possession of the collateral, used or occupied it, rented or leased it out, or given it to others to operate on profit-sharing basis, the Fund's right to charge interest and additional fees for non-payment of the installments of the loan amount recoverable or to sell the collateral shall not be affected merely by such reason.

13. Security of Loan Investment of the Fund: If a body related to town development or any institution in which the Fund has invested a loan is dissolved or ceases to exist, the Fund shall have the first claim on the assets of

such body or institution. Chapter-3 Constitution, Functions, Duties and Powers of the Committee 14.

Constitution of the Committee: (1) A Board of Directors shall be constituted to operate or cause to operate necessary programs systematically for achieving the objectives of the Fund and to oversee and manage all activities of the Fund. (2) The Committee shall consist of the following members:- Amended by Some Nepal Acts Amendment Act, 2075 (2018). (a) Secretary, Ministry of Urban Development ? Chairperson (b) Representative, Ministry of Finance (Gazetted First Class) ? Member Amended by Some Nepal Acts Amendment Act, 2075 (2018). (c) Representative, Ministry of Federal Affairs and General Administration (Gazetted First Class) ? Member Amended by Some Nepal Acts Amendment Act, 2075 (2018). (d) Seven persons, including at least three women, nominated by the Government of Nepal from among the Mayors or Deputy Mayors of municipalities, ensuring representation from each Province ? Members (e) Two persons nominated by the Committee, one being an economist specialized in the field of financial institution operation or a technical person holding a postgraduate degree in engineering and working in the field of town development, or representing bodies related to town development ? Members Added by Some Nepal Acts Amendment Act, 2075 (2018). (d1) Three persons, including at least one woman, specified by the Ministry from among persons having expertise in town development on the basis of inclusiveness ? Members (f) Executive Director ? Member-Secretary Added by Some Nepal Acts Amendment Act, 2082 (2025). (2a) If there is a need to discuss matters relating to taking action against the Executive Director, the senior-most officer of the Fund shall act as Member-Secretary in the meeting of the Committee. (3) The term of office of the nominated members pursuant to clauses (d) and (e) of sub-section (2) shall be two years. If a nominated member's position falls vacant before the expiry of the term, the vacancy shall be filled for the remaining period through the same procedure by which it was filled. (4) The Committee may, if it deems necessary, invite any domestic or foreign expert, consultant or distinguished person related to town development work to participate as an observer in the meeting of the Committee. 15. Meetings and Decisions of the Committee: (1) A meeting of the Committee shall be held at the date, time and place specified by the Chairperson.

Provided that the meeting of the Committee shall be held at least six times a year. (2) If at least one-third of the members make a written request to call a meeting of the Committee, the Member-Secretary of the Committee shall, with the approval of the Chairperson, call a meeting of the Committee. (3) The Member-Secretary of the Committee shall provide the members with the agenda of subjects to be discussed in the meeting along with the notice of the meeting. (4) The meeting of the Committee shall be presided over by the Chairperson, and in his/her absence, by a member chosen by the members from among themselves. (5) If more than fifty percent of the total number of members are present, it shall be deemed to constitute a quorum for the meeting of the Committee. (6) The decision of the majority in a meeting of the Committee shall be binding, and in case of a tie, the person presiding over the meeting shall have the casting vote. (7) In each meeting of the Committee, the names of members present, subjects discussed, and decisions made in the meeting shall be recorded in a separate minute book and signed by the members present. (8) Decisions made by the Committee shall be certified by the Member-Secretary of the Committee. (9) Other procedures relating to the meeting of the Committee shall be as determined by the Committee itself. 16. Functions, Duties and Powers of the Committee: (1) Subject to this Act and the rules and regulations made under this Act, it shall be the duty of the Committee to perform all activities to be done by the Fund and to exercise all powers vested in and perform duties of the Fund. (2) In addition to the functions, duties mentioned in sub-section (1), it shall be the duty of the Committee to perform other functions necessary for achieving the objectives of the Fund. 17. May Constitute Sub-Committees: (1) The Committee may constitute sub-committees as required for conducting its business. (2) The functions, duties, powers, jurisdiction and procedures of the sub-committees constituted pursuant to sub-section (1) shall be as specified by the

Committee. Chapter-4 Provisions Relating to Executive Director and Employees 18.

Executive Director: (1) The Committee shall appoint one Executive Director from among persons possessing the prescribed qualifications on the basis of open competition for conducting the daily business of the Fund as its administrative chief. (2) Notwithstanding anything contained in sub-section (1), until the post of Executive Director is filled, the Government of Nepal may, after consultation with the Committee, designate a senior employee of the Committee to act as Executive Director for a maximum period of three months. (3) The term of office of the Executive Director shall be four years. (4) Provisions relating to the remuneration, terms of service and facilities of the Executive Director shall be as prescribed. (5) Notwithstanding anything contained in sub-section (3), if the Executive Director performs any act causing loss or damage to the Fund or acts contrary to the policies and directives of the Committee, the Committee may, following the prescribed procedure, remove him/her from the post of Executive Director. 19. Functions, Duties and Powers of the Executive Director: (1) The functions, duties and powers of the Executive Director shall be as follows:- (a) To implement or cause to implement the decisions of the Committee. (b) To prepare the long-term and short-term plans, annual programs and budget of the Fund and submit them to the Committee for approval. (c) To implement or cause to implement plans and programs approved by the Committee. (d) To supervise and inspect the daily work of the Fund and perform necessary functions in accordance with the objectives of the Fund. (e) To inspect the plans and programs implemented through the Fund's investment and submit progress reports thereof to the Committee. (f) To prepare annual and periodic reports of the programs operated by the Fund and submit them to the Committee. (2) Other functions, duties and powers of the Executive Director, besides those mentioned in sub-section (1), shall be as prescribed. 20. Provisions Relating to Employees: (1) There shall be a necessary number of employees in the Fund for the smooth operation of the Fund's work. (2) The appointment, remuneration, facilities and terms of service of the employees of the Fund shall be as prescribed. Chapter-5 Fund and Audit 21.

Fund: (1) The Fund shall have its own separate fund, and the following amounts shall be deposited therein:- (a) Amount received from the Government of Nepal. (b) Assistance, grants or loans received from foreign governments, national or international associations or institutions. (c) Donations or gifts received from domestic or foreign associations, institutions or individuals. (d) Fees received for services and consultancy provided to bodies related to town development. (e) Amount raised from investments made by the Fund. (f) Amounts received by issuing debentures and any other types of bonds. (g) Amount earned from the movable and immovable property of the Fund. (h) Amount received by the Fund from any other source. (2) All amounts received by the Fund pursuant to sub-section (1) shall be deposited by opening an account in any commercial bank located in Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009).. (3) All expenses incurred on behalf of the Fund shall be borne from the amount deposited in the Fund pursuant to sub-section (1). (4) The operation of the Fund shall be as prescribed. 22. Accounts and Audit: (1) The accounts of income and expenditure of the Fund shall be maintained as prescribed. (2) The annual audit of the income and expenditure of the Fund shall be carried out by an auditor appointed by the Committee, from among auditors recognized by the Auditor General, after consultation with the Auditor General. (3) The Fund may, if it deems necessary, arrange for an internal audit of the Fund by any auditor. (4) The Government of Nepal may, if it so desires, inspect or cause to inspect the annual accounts of the Fund at any time. Chapter-6 Miscellaneous 23. Exemptions to the Fund: No income ticket or registration fee shall be chargeable on transactions when the Fund takes collateral by way of a deed from a borrower or guarantor, or takes ownership of the collateral property transferred in the Fund's name, or purchases or sells immovable property. 24. Repealed by the Income Tax Act, 2058 (2001). 25. Not to Participate in Decision-Making Process: No member or employee of the Fund shall participate in any decision-making

process of the Fund concerning any subject matter in which he/she has a personal interest. 26.

Acts not to be Invalidated: No act or proceeding of the Committee shall be invalidated merely by reason of the non-nomination of any member of the Committee. 27. Oath of Confidentiality and Honesty: Every member and employee shall, before assuming his/her official responsibility, take an oath of confidentiality and honesty as prescribed. 28. Annual Report: (1) The Executive Director shall submit an annual report of the activities of the Fund to the Committee within six months from the date of expiry of each fiscal year, and the Executive Director shall submit one copy of the report approved by the Committee to the Government of Nepal. (2) The Executive Director shall, with the approval of the Committee, publicly publish the annual report of the Fund referred to in sub-section (1) every year. 29. Matters to be According to this Act: Notwithstanding anything contained in the prevailing law, matters contained in this Act shall be according to this Act. 30. Meeting Allowance: Members shall receive meeting allowance as prescribed for participating in meetings of the Committee. 31. Government of Nepal may Issue Order or Directive: The Government of Nepal may, after making necessary inquiry into the activities of the Fund, issue necessary orders or directives to the Fund to carry out activities in line with the objectives of the Fund. It shall be the duty of the Fund to comply with the orders or directives so issued by the Government of Nepal. 32. Delegation of Powers: (1) The Committee may, as required, delegate some of the powers conferred upon it to any member, a sub-committee constituted pursuant to Section 17, or the Executive Director. (2) The Executive Director may, as required, delegate some of the powers conferred upon him/her to any authorized employee of the Fund. 33.

Government of Nepal may Dissolve the Fund: The Government of Nepal may dissolve the Fund under the following circumstances:- (a) If the Government of Nepal is of the opinion that the Fund is unable to repay the loan amounts received from the Government of Nepal, any foreign government, national or international association or institution to the Government of Nepal, foreign government or such institution. (b) If the Fund is unable to function in line with the objectives of this Act. (c) If the Government of Nepal is of the opinion that it is desirable to dissolve the Fund due to the Fund's violation of the order or directive issued by the Government of Nepal pursuant to Section 31. Added by Some Nepal Acts Amendment Act, 2075 (2018). (d) If the Government of Nepal determines that it is not necessary to keep the Fund in existence. 34. Transfer of Assets and Liabilities: If the Fund is dissolved pursuant to Section 33, all assets and liabilities under the responsibility of the Fund shall devolve upon the Government of Nepal. 35. Liaison with Government of Nepal: The Fund shall liaise with the Government of Nepal through the Ministry of Urban Development Amended by Some Nepal Acts Amendment Act, 2075 (2018).. Provided that, the Fund may directly liaise with the concerned body for daily administrative matters related to the Fund. 36. May Make Rules and Regulations: (1) The Government of Nepal may make necessary rules for implementing the objectives of this Act. (2) The Fund may, subject to this Act and the rules made under this Act, make necessary regulations for conducting its business. 37. Repeal and Savings: (1) The Town Development Fund Committee (Formation) Order, 2054 (1997) is hereby repealed. (2) All movable and immovable property and rights and liabilities of the Committee formed under the Order pursuant to sub-section (1) shall devolve upon the Fund established under this Act. (3) All acts and proceedings done by the Committee formed under the Order pursuant to sub-section (1) shall be deemed to have been done by the Fund established under this Act. (4) The Executive Director and employees serving in the Committee formed under the Order pursuant to sub-section (1) shall continue to serve in the Fund, being deemed to have been appointed under this Act.